

Entrepreneurship 218MANEL

Industry and Competitor Analysis

Module Leader:

Week 3 – Session 01

The Cone of Learning

After 2 weeks,

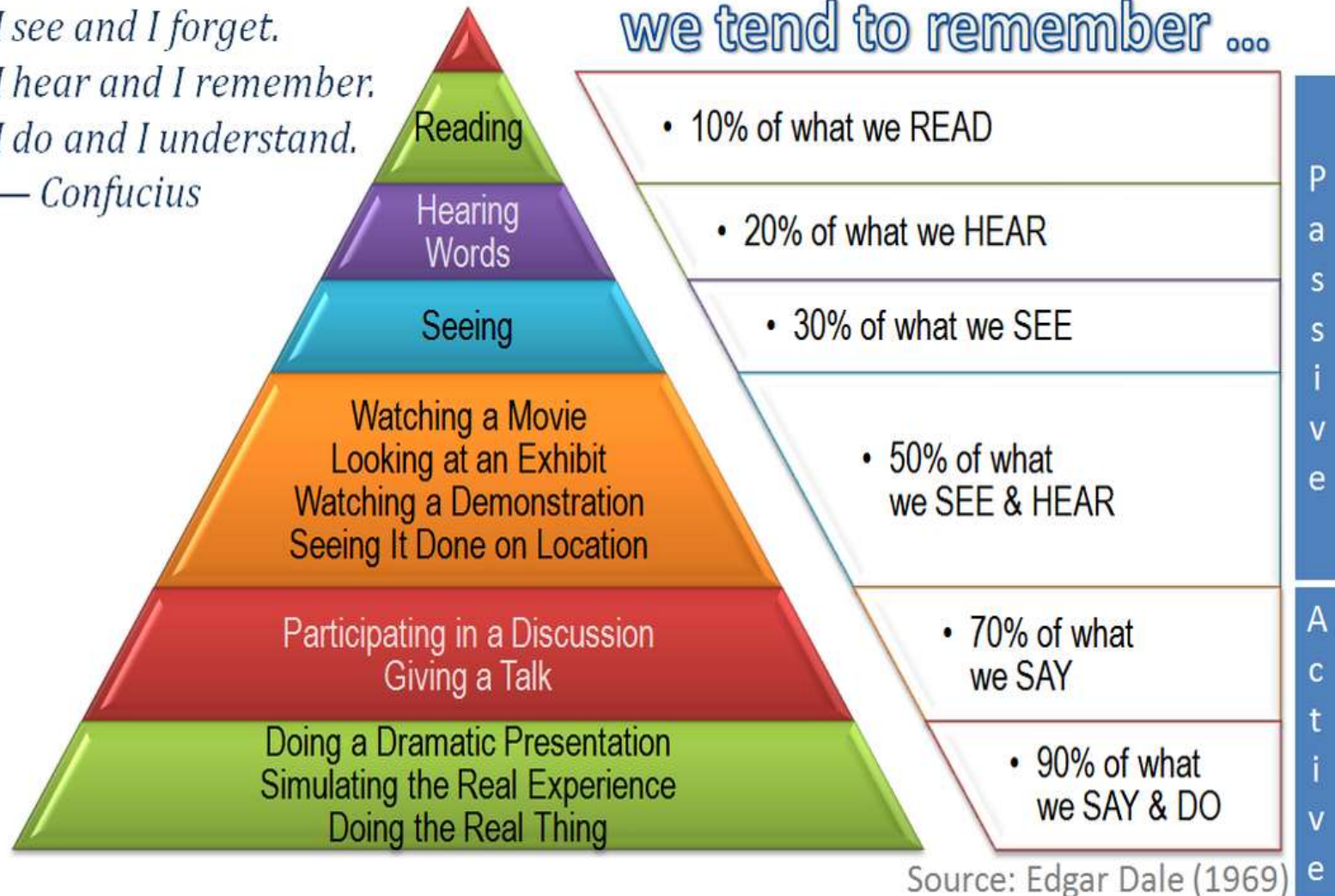
we tend to remember ...

I see and I forget.

I hear and I remember.

I do and I understand.

— Confucius



Source: Edgar Dale (1969)

Intended Module Learning Outcomes

On completion of this module the student should be able to:

LO1. Appraise the theories and practice of entrepreneurship, enterprise and innovation.

LO2. Investigate opportunities for entrepreneurial activity in the local, national and global economies for start up and existing organisations.

LO3. Explore the behaviours, characteristics, competencies and personalities of a range of entrepreneurs and evaluate against students own behaviours, characteristics, personality and competencies to assess their potential as an entrepreneur

Learning Outcome Cont.

LO4. Evaluate internal and external factors affecting the development and creation of an entrepreneurial culture;

LO5. Analyse and discuss the process of a business start up from conception to execution.

LO6. Evaluate the impact of on growth and sustainability of an idea, innovation or creative solution

Aims and Summary

- To help students develop an understanding of the nature of entrepreneurship, enterprise and innovation
- Encourage the awareness of the value of entrepreneur to the economy
- Awareness of business modelling, lean start up and similar frameworks are used to drive innovation of new products and services
- Explore the importance of Intrapreneurship and how it can be encouraged within organisations

What we're going to cover today...

1. Purpose of Industry Analysis



2. The Porters 5 Forces



3. Applying it to Your Business



Learning Objectives

- 1** Identify and discuss the five competitive forces that determine industry profitability.
- 3** Explain the value that entrepreneurial firms create by successfully using the five forces model.
- 4** Identify the five primary industry types and the opportunities they offer.
- 5** Explain the purpose of a competitor analysis and a competitive analysis grid.

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What is Industry Analysis?

- Industry
 - An industry is a group of firms producing a similar product or service, such as music, Pilates and Yoga studios, and solar panels.

Industry Analysis focuses on the potential of an industry

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Why Is Industry Analysis Important?

- Once it is determined that a new venture is feasible, a more in-depth analysis is needed to learn the ins and outs of the industry
- The analysis helps a firm determine if the target market it identified during feasibility analysis is favorable for a new firm.

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Three Key Questions

- Question 1
 - Is the industry accessible—in other words, is it a realistic place for a new venture to enter?
- Question 2
 - Does the industry contain markets that are ripe for innovation or are underserved?
- Question 3
 - Are there positions in the industry that will avoid some of the negative attributes of the industry as a whole?

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Studying Industry Trends

There are two types of trends:

- Environmental trends
- Business trends

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The Five Competitive Forces Model

The five competitive forces model is a framework for understanding the structure of an industry.

Well-managed firms try to position their firms in a way that avoids or diminishes these forces—in an attempt to beat the average rate of return of the industry.

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The Five Competitive Forces Model

Figure 5.1 Forces That Determine Industry Profitability



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Threat of Substitutes

The price that consumers are willing to pay for a product depends in part on the availability of substitute products.

For example, there are few, if any, substitutes for prescription medicines, which is one of the reasons the pharmaceutical industry is so profitable.

In contrast, when close substitutes for a product exist, industry profitability is suppressed, because consumers will opt out if the price gets too high.

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Threat of New Entrants

If the firms in an industry are highly profitable, the industry becomes a magnet to new entrants.

Unless something is done to stop this, the competition in the industry will increase, and average industry profitability will decline.

Firms in an industry try to keep the number of new entrants low by erecting barriers to entry.

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Barriers to Entry

Barrier to Entry	Explanation
Economies of Scale	Industries that are characterized by large economies of scale are difficult for new firms to enter, unless they are willing to accept a cost disadvantage.
Product differentiation	Industries such as the soft drink industry that are characterized by firms with strong brands are difficult to break into without spending heavily on advertising.
Capital requirements	The need to invest large amounts of money to gain entrance to an industry is another barrier to entry.

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Barriers to Entry

Barrier to Entry	Explanation
Cost advantages independent of size	Existing firms may have cost advantages not related to size. For example, the existing firms in an industry may have purchased land when it was less expensive than it is today.
Access to distribution channels	Distribution channels are often hard to crack. This is particularly true in crowded markets, such as the convenience store market.
Government and legal barriers	Some industries, such as banking and broadcasting, require the granting of a license by a public authority to compete.

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For New Businesses/Start ups

Nontraditional Barriers to Entry

Barrier to Entry	Explanation
Strength of management team	If a start-up puts together a world-class management team, it may give potential rivals pause in taking on the start-up in its chosen industry.
First-mover advantage	If a start-up pioneers an industry or a new concept within an industry, the name recognition the start-up establishes may create a barrier to entry.
Passion of the management team and employees	If the employees of a start-up are motivated by the unique culture of a start-up, and anticipate a large financial reward, this is a combination that cannot be replicated by larger firms.

For New Businesses/Start ups

Barrier to Entry	Explanation
Unique business model	If a start-up is able to construct a unique business model and establish a network of relationships that makes the business model work, this set of advantages creates a barrier to entry.
Internet domain name	Some Internet domain names are so “spot-on” that they give a start-up a meaningful leg up in terms of e-commerce opportunities.
Inventing a new approach to an industry	If a start-up invents a new approach to an industry and executes it in an exemplary fashion, these factors create a barrier to entry for potential imitators.

Rivalry Among Existing Firms

- In most industries, the major determinant of industry profitability is the level of competition among existing firms.
- Some industries are fiercely competitive, to the point where prices are pushed below the level of costs, and industry-wide losses occur.

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Factors that determine the intensity of the rivalry among existing firms in an industry

Growth rate of an industry	The competition among firms in a slow-growth industry is stronger than among those in fast-growth industries.
Level of fixed costs	Firms that have high fixed costs must sell a higher volume of their product to reach the break-even point than firms with low fixed costs.
Number and balance of competitors	The more competitors there are, the more likely it is that one or more will try to gain customers by cutting its price.
Degree of difference between products	The degree to which products differ from one producer to another affects industry rivalry.

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Bargaining Power of Suppliers (1 of 3)

- Bargaining Power of Suppliers
 - Suppliers can suppress the profitability of the industries to which they sell by raising prices or reducing the quality of the components they provide.
 - If a supplier reduces the quality of the components it supplies, the quality of the finished product will suffer, and the manufacturer will eventually have to lower its price.
 - If the suppliers are powerful relative to the firms in the industry to which they sell, industry profitability can suffer.

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Bargaining Power of Suppliers

Factors that have an impact on the ability of suppliers to exert pressure on buyers

Supplier concentration	When there are only a few suppliers that supply a critical product to a large number of buyers, the supplier has an advantage.
Switching costs	Switching costs are the fixed costs that buyers encounter when switching or changing from one supplier to another. If switching costs are high, a buyer will be less likely to switch suppliers.

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Bargaining Power of Suppliers

Factors that have an impact on the ability of suppliers to exert pressure on buyers

Attractiveness of substitutes	Supplier power is enhanced if there are no attractive substitutes for the products or services the supplier offers.
Threat of forward integration	The power of a supplier is enhanced if there is a credible possibility that the supplier might enter the buyer's industry.

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First Application of the Five Forces Model

Assessing Industry Attractiveness Using the Five Forces Model

Competitive Force	Threat to Industry Profitability Low	Threat to Industry Profitability Medium	Threat to Industry Profitability High
Threat of substitutes			
Threat of new entrants			
Rivalry among existing firms			
Bargaining power of suppliers			
Bargaining power of buyers			

Instructions:

Step 1: Select in industry for your product or service

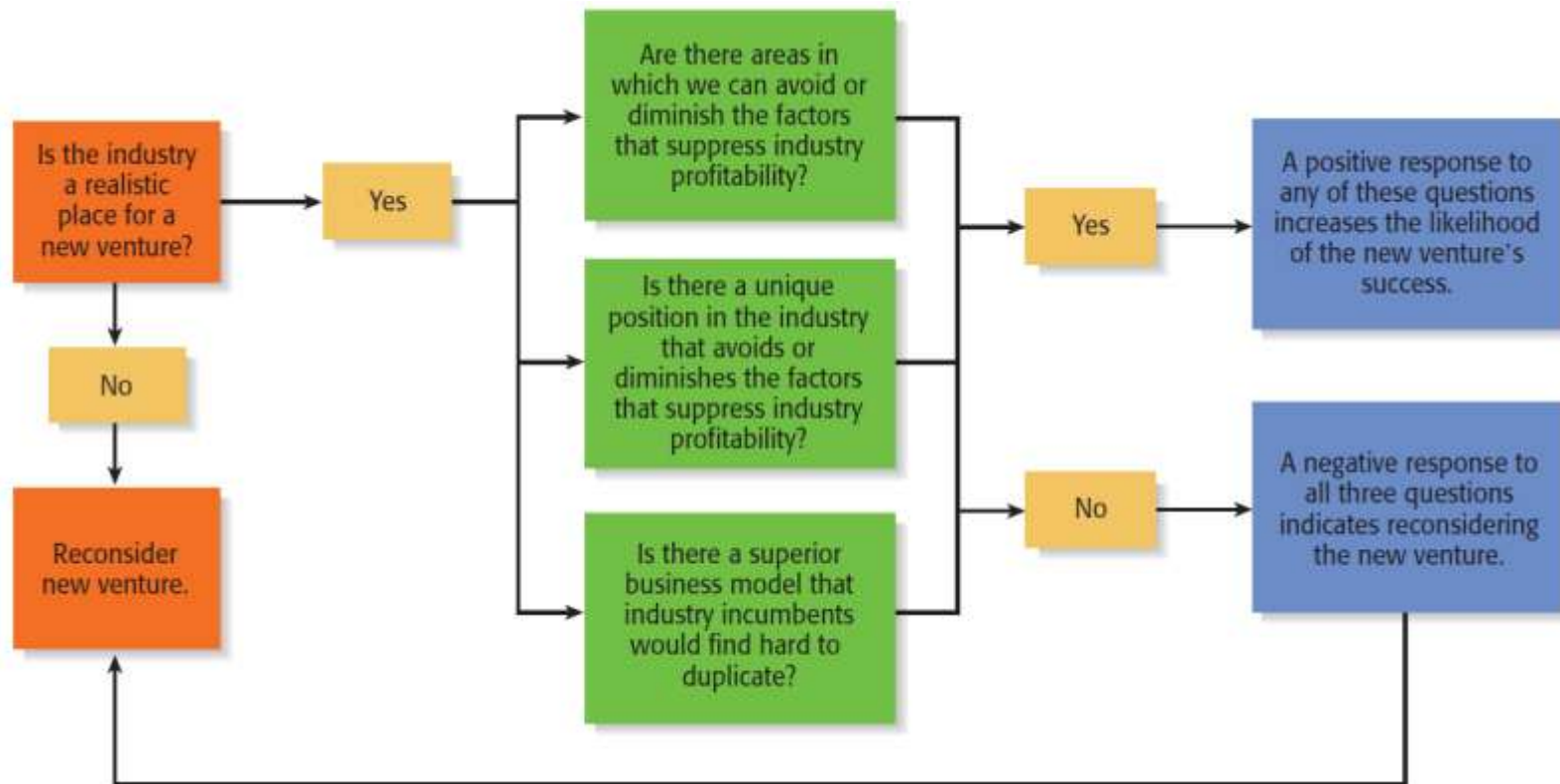
Step 2: Determine the level of threat to industry profitability for each of the forces (low, medium or high).

Step 3: Use the table to develop an overall feel for the attractiveness of the industry.

Step 4: Use the table to identify the threats that are most often relevant to your industry success/profitability.

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Using the Five Forces Model to Pose Questions to Determine the Potential Success of a New Venture in an Industry



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Competitor Analysis

- What is a Competitor Analysis?
 - A competitor analysis is a detailed analysis of a firm's competition.
 - It helps a firm understand the positions of its major competitors and the opportunities that are available.
 - A competitive analysis grid is a tool for organizing the information a firm collects about its competitors.

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Identifying Competitors

Types of Competitors New Ventures Face

Direct Competitors

Businesses offering identical or similar products

Indirect Competitors

Businesses offering close substitute products

Future Competitors

Businesses that are not yet direct or indirect competitors but could be at any time

Sources of Competitive Intelligence (2 of 2)

Ethical ways to obtain information about competitors

- Attend conferences and trade shows.
- Purchase competitors' products.
- Study competitors' Web sites and social media sites.
- Set up Google e-mail alerts.
- Read industry-related books, magazines, and Web sites.
- Talk to customers about what motivated them to buy your product as opposed to your competitor's product.

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What we covered today...

1. Purpose of Industry Analysis



2. The Porters 5 Forces



3. Applying it to Your Business





Traffic Light *it*

Where is your learning at?

Red = I have misunderstood some of the topics. (write down 2 questions that you need help with)

Amber = I have understood most of the topics so far (write down 1 question and 1 key theme you have understood)

Green = I have understood the topics so far (write down 2 key themes from the lesson to show your understanding)

Reading



Essential Reading

Barringer, B. and Ireland, D, (2015) Entrepreneurship: Successfully Launching New Ventures. 5th edn. Harlow: Pearson

Tidd, J and Bessant, J. (2013) Managing Innovation: Intergrating Technological, Market and Organizational Change. 5th edn. Hoboken: Wiley

Recommended Reading

Scarborough, N and Cornwall, J (2016) Essentials of Entrepreneurship and Small Business Management 8th edn. Harlow: Pearson

Neck, H. Neck, C. and Murray, E. (2017) Entrepreneurship: The practice and Mindset. London Sage

References

- Department of Trade and Industry (2011) '*Small and Medium Enterprise (SME) – definitions*'. [online] available from <http://webarchive.nationalarchives.gov.uk/+http://www.dti.gov.uk/sme4/define.htm> [15 February 2016].
- European Commission (2013) '*Entrepreneurship 2020 Action Plan. Reigniting the entrepreneurial spirit in Europe*'. Communication from the Commission to the European Parliament, The Council, The European Economic and Social Committee and the Committee of the Regions. Brussels.
- Lowe, R and Marriott, S. (2006) '*Enterprise, Entrepreneurship and Innovation. Concepts, Contexts and Commercialization*'. Elsevier Butterworth-Heinemann, Oxford.
- Rae, D. (2015) '*Opportunity-Centred Entrepreneurship*'. 2nd edn. Palgrave Macmillan. London.
- Rhodes, C. (2015) '*Business Statistics*'. [online] available from <http://researchbriefings.parliament.uk/ResearchBriefing/Summary/SN06152> [15 February 2016]